

B S R & Associates LLP

Chartered Accountants

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Limited review report on unaudited quarterly standalone financial results under Regulation 33 of the Listing Regulations

To
Board of Directors of Granules India Limited

1. We have reviewed the accompanying Statement of unaudited standalone financial results of Granules India Limited ('the Company') for the quarter ended 30 June 2020.
2. This Statement, which is the responsibility of the Company's management and approved by the Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in Indian Accounting Standard 34 "*Interim Financial Reporting*" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013, and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. Our responsibility is to issue a report on the Statement based on our review.
3. We conducted our review of the Statement in accordance with the Standard on Review Engagements (SRE) 2410 "*Review of Interim Financial Information Performed by the Independent Auditor of the Entity*", issued by the Institute of Chartered Accountants of India. This standard requires that we plan and perform the review to obtain moderate assurance as to whether the Statement is free of material misstatement. A review is limited primarily to inquiries of company personnel and analytical procedures applied to financial data and thus provides less assurance than an audit. We have not performed an audit and accordingly, we do not express an audit opinion.
4. Attention is drawn to the fact that the figures for the 3 months ended 31 March 2020 as reported in these financial results are the balancing figures between audited figures in respect of the full previous financial year and the published year to date figures up to the third quarter of the previous financial year. The figures up to the end of the third quarter of previous financial year had only been reviewed and not subjected to audit.
5. Based on our review conducted as above, nothing has come to our attention that causes us to believe that the accompanying Statement, prepared in accordance with applicable accounting standards and other recognised accounting practices and policies has not disclosed the information required to be disclosed in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including the manner in which it is to be disclosed, or that it contains any material misstatement.

For B S R & Associates LLP
Chartered Accountants
ICAI Firm Registration No. 116231W/ W-100024



Sriram Mahalingam
Partner
Membership No.: 049642
UDIN: 20049642AAAADN8892

Place: Hyderabad
Date : 17 July 2020

Statement of Standalone Unaudited Results for the quarter ended June 30, 2020

Sl No.	Particulars	Quarter ended			Year ended
		30.06.2020	31.03.2020	30.06.2019	31.03.2020
		Un-Audited	Audited (Refer note - 11)	Un-Audited	Audited
	Income				
1	Revenue from operations	74,292.16	48,686.99	56,784.79	230,992.83
2	Other income	630.62	1,682.75	151.37	2,645.67
3	Total income (1+2)	74,922.78	50,369.74	56,936.16	233,638.50
	Expenses				
	(a) Cost of materials consumed (refer note 9)	35,979.52	27,282.83	31,140.48	125,328.26
	(b) Changes in inventories of work in progress and finished goods	(1,930.63)	(3,010.23)	(847.98)	(3,129.76)
	(c) Employee benefits expense	6,281.08	5,289.23	4,576.85	19,251.45
	(d) Finance costs	584.79	667.47	680.02	2,686.22
	(e) Depreciation and amortisation expense	2,857.94	2,634.45	2,525.50	10,182.44
	(f) Other expenses (refer note 9)	14,397.34	9,393.96	10,053.77	40,129.16
	Total expenses	58,170.04	42,257.71	48,128.64	194,447.77
5	Profit before exceptional items and tax (3-4)	16,752.74	8,112.03	8,807.52	39,190.73
6	Exceptional items (refer note 5)	-	(16,111.87)	-	(16,111.87)
7	Profit before tax (5-6)	16,752.74	24,223.90	8,807.52	55,302.60
8	Tax expense				
	a) Current tax	5,724.01	3,392.10	3,025.39	12,222.73
	b) Deferred tax (refer note 4)	(1,471.37)	656.53	(171.05)	(1,327.03)
	Total tax expense	4,252.64	4,048.63	2,854.34	10,895.70
9	Profit for the period (7-8)	12,500.10	20,175.27	5,953.18	44,406.90
10	Other comprehensive income (net of tax)				
	(a) (i) items that will not be reclassified to profit or loss	-	(460.56)	-	(460.56)
	(ii) income tax on (i) above	-	123.62	-	123.62
	(b) (i) items that will be reclassified to profit or loss	(973.76)	(1,721.36)	(429.00)	(3,138.36)
	(ii) income tax on (i) above	245.08	413.87	149.91	770.50
	Total other comprehensive income, net of tax	(728.68)	(1,644.43)	(279.09)	(2,704.80)
11	Total comprehensive income (9+10)	11,771.42	18,530.84	5,674.09	41,702.10
12	Paid-up equity share capital (Face Value of Rs.1/- per share)	2,471.46	2,542.48	2,542.48	2,542.48
13	Other equity				178,616.10
14	Earnings per share (Face value Rs. 1/- each)				
	(a) Basic (in Rs.)	4.92	7.94	2.34	17.47
	(b) Diluted (in Rs.)	4.89	7.91	2.34	17.41
		(Not annualised)	(Not annualised)	(Not annualised)	(Annualised)

Notes:

- The above standalone un-audited financial results for the quarter ended June 30, 2020 have been reviewed by the Audit Committee on July 17, 2020 and approved by the Board of Directors at their meeting held on July 17, 2020.
- The standalone unaudited financial results of the Company have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- The Auditors of the Company have carried out Limited Review of the financial results for the quarter ended June 30, 2020.
- The Company elected to exercise the option permitted under section 115BAA of the Income-tax Act, 1961 as introduced by the Taxation Laws (Amendment) Ordinance, 2019. Accordingly, the Company has recognised provision for income tax for the year ended March 31, 2020 and remeasured its deferred tax liabilities basis the rates prescribed in the said section. The Company recognized an amount of Rs. 1,891.88 lakhs towards reversal of deferred tax liability for the year ended March 31, 2020 on account of the remeasurement.
- During the year ended March 31, 2020, the Company has entered into a definitive agreement to divest its entire 50% shareholding in Granules-Biocrine Pharmaceutical Co. Ltd, for a consideration of Rs. 11,233.76 lakhs (RMB 109 million). Upon divestment, the resultant gain of Rs. 9,414.73 lakhs is disclosed as 'Exceptional item' in the standalone statement of profit and loss.
 - During the year ended March 31, 2020, the Company has entered into a definitive agreement to divest its entire 50% shareholding in Granules Omnicheem Private Limited, for a consideration of Rs. 10,985.24 lakhs. The Company has recognised the resultant gain of Rs. 6,697.14 lakhs which is disclosed as an 'Exceptional item' in the standalone statement of profit and loss.



- 6 The Company has considered the possible effects that may result from the pandemic relating to COVID-19 on its business operations and the safety and health of its people. With a view to ensure minimal disruption with respect to operations including production and distribution activities, the Company has taken several business continuity measures including making transport available to its factory employees where allowed for essential purposes, working from home, providing laptops, following social distancing norms and sanitization of office/work places. While the Company has not experienced any significant difficulties with respect to market demand, liquidity, financing capital expansion projects, collections so far, the Company has assessed the financial impact of the COVID-19 situation particularly on the carrying amounts of receivables, inventories, investments, property, plant and equipment and intangible assets. In developing the assumptions relating to the possible future uncertainties in the global economic conditions, the Company has, as at the date of approval of these standalone financial results, used internal and external sources of information, including economic forecasts and estimates from market sources, on the expected future performance of the industry in general and the expected future performance of the Company. On the basis of evaluation and current indicators of future economic conditions, the Company believes that it will be in a position to recover the carrying amounts of these assets and does not anticipate any material impact due to impairment to these financial and non-financial assets. However, the impact assessment of COVID-19 is a continuing process, given the uncertainties associated with its nature and duration.
- 7 The Company operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- 8 During the quarter ended June 30, 2020, the Company has concluded the buyback of 7,101,374 equity shares at a price of ₹ 200 per equity share ("Buyback") as approved earlier by the Board of Directors at their meeting held on January 21, 2020.
- 9 During the quarter, Granules Pharmaceuticals Inc., has announced the voluntarily recall of 12 batches of Metformin Hydrochloride Extended – Release tablets USP, 750 mg. Out of the 12 batches, the recall of 1 batch was due to the detection of N- Nitrosodimethylamine (NDMA) levels above the Acceptable Daily Intake limit. The recall of the remaining 11 batches which were well below the limit was out of abundance of caution. The Company has made a provision of Rs 1,506.01 lakhs (USD 2 million) during the quarter on account of failure to supply, anticipated re-call costs and write downs of closing inventories. Out of Rs 1,506.01 lakhs, Cost of materials consumed includes Rs 538.40 lakhs and other expenses by Rs 967.61 lakhs.
- 10 The Board of Directors at their meeting held on July 17, 2020 has declared first interim dividend of 25 paise per equity share of Re.1/- each.
- 11 The figures for the quarters ended March 31, 2020 are the balancing numbers between audited figures in respect of the full financial years and the published unaudited year to date figures upto the end of the third quarter of the relevant financial year, which are subjected to limited review.
- 12 The figures for the corresponding previous periods have been restated/regrouped wherever necessary, to make them comparable.

Place : Hyderabad
Date : July 17, 2020

for and on behalf of the Board



Krishna Prasad Chigurupati
Chairman and Managing Director



B S R & Associates LLP

Chartered Accountants

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Limited review report on unaudited quarterly consolidated financial results under Regulation 33 of the Listing Regulations

To
Board of Directors of Granules India Limited

1. We have reviewed the accompanying Statement of unaudited consolidated financial results of Granules India Limited ("the Parent") and its subsidiaries (the Parent and its subsidiaries together referred to as "the Group") for the quarter ended 30 June 2020 ("the Statement"), being submitted by the Parent pursuant to the requirements of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations').
2. This Statement, which is the responsibility of the Parent's management and approved by the Parent's Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in Indian Accounting Standard 34 "*Interim Financial Reporting*" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013, and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. Our responsibility is to express a conclusion on the Statement based on our review.
3. We conducted our review of the Statement in accordance with the Standard on Review Engagements (SRE) 2410 "*Review of Interim Financial Information Performed by the Independent Auditor of the Entity*", issued by the Institute of Chartered Accountants of India. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

We also performed procedures in accordance with the circular issued by the SEBI under Regulation 33 (8) of the Listing Regulations, to the extent applicable.

4. The Statement includes the results of the following entities:

Name of the entity	Relationship
Granules USA Inc.	Wholly owned subsidiary
Granules Pharmaceutical Inc.	Wholly owned subsidiary
Granules Europe Limited	Wholly owned subsidiary

5. Attention is drawn to the fact that the figures for the 3 months ended 31 March 2020 as reported in these financial results are the balancing figures between audited figures in respect of the full previous financial year and the published year to date figures up to the third quarter of the previous financial year. The figures up to the end of the third quarter of previous financial year had only been reviewed and not subjected to audit.

Limited review report on unaudited quarterly consolidated financial results and consolidated year-to-date results under Regulation 33 of the Listing Regulations (continued)

6. Based on our review conducted and procedures performed as stated in paragraph 3 above and based on the consideration of the review reports of the other auditors referred to in paragraph 7 below, nothing has come to our attention that causes us to believe that the accompanying Statement, prepared in accordance with the recognition and measurement principles laid down in the aforesaid Indian Accounting Standard and other accounting principles generally accepted in India, has not disclosed the information required to be disclosed in terms of Regulation 33 of the Listing Regulations, including the manner in which it is to be disclosed, or that it contains any material misstatement.
7. We did not review the interim financial information of two subsidiaries included in the Statement, whose interim financial information reflect total revenues of Rs. 17,730.27 lakhs, total net profit after tax of Rs. 783.38 lakhs and total comprehensive income of Rs. 875.25 lakhs for the quarter ended 30 June 2020, as considered in the consolidated unaudited financial results. These interim financial information have been reviewed by other auditors whose reports have been furnished to us by the management and our conclusion on the Statement, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, is based solely on the reports of the other auditors and the procedures performed by us as stated in paragraph 3 above.

Our conclusion on the Statement is not modified in respect of the above matter.

8. The Statement includes the interim financial information of one subsidiary which have not been reviewed, whose interim financial information reflect total revenue of Rs. Nil, total net loss after tax of Rs. 39.60 lakhs and total comprehensive loss of Rs. 35.95 lakhs for the quarter ended 30 June 2020, as considered in the Statement. According to the information and explanations given to us by the management, these interim financial information are not material to the Group.

Our conclusion on the Statement is not modified in respect of the above matter

For B S R & Associates LLP

Chartered Accountants

ICAI Firm Registration No.: 116231W/ W-100024



Srikanth Mahalingam

Partner

Membership No.: 049642

UDIN: 20049642AAAADM1711

Place: Hyderabad

Date : 17 July 2020



GRANULES INDIA LIMITED
 Regd Office : 2nd Floor, 3rd Block, My Home Hub
 Madhapur, Hyderabad 500 081
 CIN:L24110TG1991PLC012471

Rs in lakhs

Statement of Consolidated Unaudited Results for the quarter ended June 30, 2020

Sl No.	Particulars	Quarter ended			Year ended
		30.06.2020	31.03.2020	30.06.2019	31.03.2020
		Un-Audited	Audited (Refer note - 12)	Un-Audited	Audited
	Income				
1	Revenue from operations	73,559.62	59,988.34	59,527.28	259,864.65
2	Other income	563.02	2,251.93	185.47	3,655.52
3	Total income (1+2)	74,122.64	62,240.27	59,712.75	263,520.17
	Expenses				
	(a) Cost of materials consumed (refer note 10)	37,360.16	29,414.83	32,587.19	131,491.77
	(b) Changes in inventories of work in progress and finished goods	(7,601.06)	(1,510.90)	(3,042.46)	(3,398.64)
	(c) Employee benefits expense	8,365.48	7,381.87	5,702.98	25,903.82
	(d) Finance costs	595.26	657.06	686.99	2,702.38
	(e) Depreciation and amortisation expense	3,407.74	3,897.00	2,866.97	13,695.35
	(f) Other expenses (refer note 10)	17,076.17	14,707.78	12,417.54	53,335.87
	Total expenses	59,203.75	54,547.64	51,219.21	223,730.55
	Profit before share of profit from joint venture & associate, exceptional items and tax (3-4)	14,918.89	7,692.63	8,493.54	39,789.62
6	Share of profit of joint venture and associate, net of tax	-	-	2,549.09	2,549.09
7	Profit before exceptional items and tax (5+6)	14,918.89	7,692.63	11,042.63	42,338.71
8	Exceptional items (refer note 7)	-	(5,977.29)	-	(2,773.90)
9	Profit before tax (7-8)	14,918.89	13,669.92	11,042.63	45,112.61
10	Tax expense				
	a) Current tax	5,956.85	3,592.67	3,042.45	12,570.83
	b) Deferred tax (refer note 6)	(2,182.89)	843.57	(324.01)	(998.05)
	Total tax expense	3,773.96	4,436.24	2,718.44	11,572.78
11	Profit for the period (9-10)	11,144.93	9,233.68	8,324.19	33,539.83
12	Other comprehensive income (net of tax)				
	(a) (i) items that will not be reclassified to profit or loss	-	(460.56)	-	(460.56)
	(ii) income tax on (i) above	-	123.62	-	123.62
	(b) (i) items that will be reclassified to profit or loss	(878.24)	162.12	(941.18)	(215.07)
	(ii) income tax on (i) above	245.08	815.15	197.07	770.50
	Total other comprehensive income, net of tax	(633.16)	640.33	(744.11)	218.49
13	Total comprehensive income (11+12)	10,511.77	9,874.01	7,580.08	33,758.32
14	Paid-up equity share capital (Face Value of Rs. 1/- per share)	2,471.46	2,542.48	2,542.48	2,542.48
15	Other equity				181,829.93
16	Earnings per share (Face value Rs. 1/- each)				
	(a) Basic (in Rs.)	4.39	3.63	3.27	13.19
	(b) Diluted (in Rs.)	4.36	3.62	3.27	13.15
		(Not annualised)	(Not annualised)	(Not annualised)	(Annualised)

Notes:

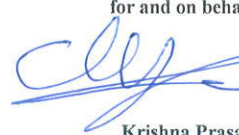
- The above consolidated unaudited financial results for the quarter ended June 30, 2020 have been reviewed by the Audit Committee on July 17, 2020 and approved by the Board of Directors at their meeting held on July 17, 2020.
- The consolidated unaudited financial results of the Company have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- The Auditors of the Company have carried out Limited Review of the financial results for the quarter ended June 30, 2020.
- The subsidiaries considered for the consolidated financial statements for the quarter ended June 30, 2020 are Granules USA Inc., Granules Pharmaceuticals Inc. and Granules Europe Limited (together known as "Subsidiaries").
- The Group operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- The Company elected to exercise the option permitted under section 115BAA of the Income-tax Act, 1961 as introduced by the Taxation Laws (Amendment) Ordinance, 2019. Accordingly, the Company has recognised provision for income tax for the year ended March 31, 2020 and remeasured its deferred tax liabilities basis the rates prescribed in the said section. The Company recognized an amount of Rs. 1,891.88 lakhs towards reversal of deferred tax liability for the year ended March 31, 2020 on account of the remeasurement.



- 7 a) During the year ended March 31, 2020, the Company entered into a definitive agreement to divest its entire 50% shareholding in Granules-Biocrine Pharmaceutical Co. Ltd, for a consideration of Rs. 11,233.76 lakhs (RMB 109 million). Upon divestment, the resultant loss of Rs. 3,203.39 lakhs is disclosed as 'Exceptional item' in the consolidated statement of profit and loss.
- b) During the year ended March 31, 2020, the Company has entered into a definitive agreement to divest its entire 50% shareholding in Granules Omnicem Private Limited, for a consideration of Rs. 10,985.24 lakhs. The Company has recognised the resultant gain of Rs. 5,977.29 lakhs which is disclosed as an 'Exceptional item' in the consolidated statement of profit and loss.
- 8 The Group has considered the possible effects that may result from the pandemic relating to COVID-19 on its business operations and the safety and health of its people. With a view to ensure minimal disruption with respect to operations including production and distribution activities, the Group has taken several business continuity measures including making transport available to its factory employees where allowed for essential purposes, working from home, providing laptops, following social distancing norms and sanitization of office/work places. While the Group has not experienced any significant difficulties with respect to market demand, liquidity, financing capital expansion projects, collections so far, the Company has assessed the financial impact of the COVID-19 situation particularly on the carrying amounts of receivables, inventories, investments, property, plant and equipment and intangible assets. In developing the assumptions relating to the possible future uncertainties in the global economic conditions, the Group has, as at the date of approval of these consolidated financial results, used internal and external sources of information, including economic forecasts and estimates from market sources, on the expected future performance of the industry in general and the expected future performance of the Group. On the basis of evaluation and current indicators of future economic conditions, the Group believes that it will be in a position to recover the carrying amounts of these assets and does not anticipate any material impact due to impairment to these financial and non-financial assets. However, the impact assessment of COVID-19 is a continuing process, given the uncertainties associated with its nature and duration.
- 9 During the quarter ended June 30, 2020, the Company has concluded the buyback of 71,01,374 equity shares at a price of ₹ 200 per equity share ("Buyback") as approved earlier by the Board of Directors at their meeting held on January 21, 2020.
- 10 During the quarter, Granules Pharmaceuticals Inc., has announced the voluntarily recall of 12 batches of Metformin Hydrochloride Extended – Release tablets USP, 750 mg. Out of the 12 batches, the recall of 1 batch was due to the detection of N- Nitrosodimethylamine (NDMA) levels above the Acceptable Daily Intake limit. The recall of the remaining 11 batches which were well below the limit was out of abundance of caution. The Group has made a provision of Rs 1,506.01 lakhs (USD 2 million) during the quarter on account of failure to supply, anticipated re-call costs and write downs of closing inventories. Out of Rs 1,506.01 lakhs, Cost of materials consumed includes Rs 538.40 lakhs and other expenses by Rs 967.61 lakhs.
- 11 The Board of Directors at their meeting held on July 17, 2020 has declared first interim dividend of 25 paise per equity share of Re.1/- each.
- 12 The figures for the quarter ended March 31, 2020 are the balancing figures between audited figures in respect to full financial year and the published unaudited year to date figures upto the end of the third quarter of the relevant financial year, which were subjected to limited review.
- 13 The figures for the corresponding previous periods have been restated/regrouped wherever necessary, to make them comparable.
- 14 Standalone results for the quarter / year ended are as under -

Particulars	Quarter ended			Rs in lakhs
	30.06.2020	31.03.2020	30.06.2019	Year ended
	Un-Audited	Audited	Un-Audited	31.03.2020 Audited
Revenue from Operations	74292.16	48,686.99	56,784.79	230,992.83
Profit Before Tax	16752.74	24,223.90	8,807.52	55,302.60
Profit After Tax	12,500.10	20,175.27	5,953.18	44,406.90

Place : Hyderabad
Date : July 17, 2020

for and on behalf of the Board

Krishna Prasad Chigurupati
Chairman and Managing Director

